

Let us consider two companies, one that outsources work and the other that is involved in self-manufacturing.

**Company that
outsources work**

**Company
involved in self-
manufacturing**



- When a company manufactures itself, it will have to invest in assets. This will lead to low asset turnover. Thus, the company will have a low asset turnover but a high margin.
- However, when a company outsources, it will not have to invest in assets. Thus, the asset turnover will be high, but the margins will be low.

Different companies in the same type of business can have different approaches.

3 ROA (EBIT/Operating Assets)

Operating Assets						
Operating Asset Turnover	2.16	2.07	1.87	1.92	1.78	1.00
Margins(EBIT/Revenue)	18.85%	18.89%	19.63%	17.48%	19.26%	20.29%
ROA(EBIT/Operating Assets)	40.8%	39.1%	36.7%	33.5%	34.3%	20.3%
ROA (PAT/Avg Operating Assets)	62.11%	60.50%	61.29%	54.83%	53.94%	24.01%

**Return On
Assets**

$$\begin{aligned}
 &= \frac{\text{EBIT}}{\text{Revenue}} \times \frac{\text{Revenue}}{\text{Operating Assets}} \\
 &= \text{Operating Asset Turnover} \times \text{Operating Margin}
 \end{aligned}$$

Simply put, return on assets is the result of the product of asset turnover and margin. As seen, the company is making good profits at the EBIT level.